Credit Default Swaps: ISDA Documentation

Seminar Module

conducted by

ACF Consultants Ltd





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History of ISDA Documentation

- 1998 ISDA “Confirmation of OTC Credit Swap Transaction – Single Reference Entity – Non-Sovereign” was first market standard CDS contract
- 1999 ISDA Credit Derivatives Definitions
  - Definitions were based on 1998 “long form” confirmation, but applied to a broader range of CDS
  - **2001 Restructuring Supplement** to the 1999 Definitions
    - Supplement followed the Conseco affair
      - Conseco negotiated an extension on their syndicated loan in September 2000 but no other credit event occurred at the time
      - CDS contracts were triggered and settled
      - CDS buyers benefited from a 20+ percentage point CTD option payoff
    - More details on following page...
  - **2001 Convertibles Supplement** to the 1999 Definitions
    - Supplement followed the Railtrack affair
      - Following the bankruptcy of Railtrack plc in October 2001, CSFB International claimed a particular convertible bond was not technically deliverable (as it was contingent on a trustee) but their counterpart Nomura International sued in the High Court and won, helped by a legal opinion provided by ISDA
  - **2001 Successor and Credit Events Supplement** to the 1999 Definitions
    - Supplement addressed the issues raised by the National Power affair
      - National Power demerged, splitting itself into two almost equally indebted halves in October 2000
      - There was much debate amongst dealers before a market consensus that International Power, rather than Innogy Holdings plc (and its subsidiary Npower), would remain as the reference entity
    - The supplement also refined the definition of the Bankruptcy credit event
      - Written admission of a general inability to pay debts must be “in a judicial, regulatory or administrative proceeding or filing”

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History of ISDA Documentation (continued)

- 2001 – Restructuring Supplement
  - **Maturity Modification**
    - Deliverable Obligation cannot have maturity greater than the earlier of:
      - 30 months following date of restructuring
      - Latest final maturity date of any restructured bond or loan
    - Limits protection seller's price risk
      - When the credit event is a serious *default*, all senior obligations trade at similar level, so delivery option is not so valuable
      - When a "soft" *restructuring* event occurs, short-dated debt trades at a premium to long-dated, so delivery option is valuable e.g. Conseco short-dated loans were trading 92 per cent at the same time as long-dated bonds were trading 66-69 per cent
      - Maturity modification prevents delivery of long-dated obligations if credit event is a restructuring
  - **Fully Transferable Obligation**
    - Deliverable Obligations must be a Fully Transferable Obligation
      - Loans must be "no consent required"
      - Only the transferability of the debt matters and not the status of the protection seller e.g. if a banking licence is required
    - Limits protection seller's risk as Deliverable Obligation must be tradable
  - **Multiple Holder Obligations**
    - Restructuring must be agreed to by 2/3rds voting majority and by more than 3 unaffiliated holders
      - Otherwise does not count as a Restructuring Credit Event
    - Limits risk of adverse manipulation of credit events in privately held debt
      - Bondholders had become particularly worried about gaming by loan holders
        e.g. Conseco syndicated loan holders benefited from CTD option after an event they had created themselves!
- Supplement was unpopular in Europe because "consent required" loans and longer dated loans are more common there than they are in the US…

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History of ISDA Documentation (continued)

- 2003 ISDA Credit Derivatives Definitions
  - **Updated** the 1999 Definitions
  - **Incorporates** the three 2001 Supplements plus adds some new provisions…
  - **Clarifies** which types of guaranteed obligations qualify as deliverable
    - Qualifying Guarantees definition was quickly amended by May 2003 supplement
    - Qualifying Affiliate Guarantees
      - These are always deliverable by delivering the bond with the guarantee attached
      - An affiliate is a firm with 50% or more of its voting shares owned by the Reference Entity
    - "All Guarantees" is also an option, which makes all Qualifying Guarantees deliverable
  - **Modifies** certain Credit Event definitions
    - Bankruptcy
    - Repudiation/Moratorium
    - Restructuring Applicable means unmodified restructuring (*"Old R"*) unless confirmations also specify one of:
      - "Restructuring Maturity Limitation and Fully Transferable Obligation Applicable" (*"Mod R"*)
      - "Modified Restructuring Maturity Limitation and Conditionally Transferable Obligation Applicable" (*"Mod Mod R"*)
  - **Changes** to certain Settlement Procedures
    - Seller "Buy-in" when bonds specified in a "Notice of Physical Settlement" are not delivered
    - Alternative procedures to deliver bonds if loans cannot legally be delivered etc.
    - The ISDA 2002 Novation Agreement was incorporated into the 2003 Definitions

These definitions as amended by key supplements remain current today…

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History of ISDA Documentation (continued)

- 2005 Matrix Supplement
  - Appended new Article XI to the 2003 ISDA Credit Derivatives Definitions
  - ***Matrix Confirmations*** new approach to parameter selections within the 2003 Definitions
    - Short documents referencing market standard "Transaction Types"
    - Suitable for efficient electronic processing
  - Market wide standard selections listed in the ***Credit Derivatives Physical Settlement Matrix***
    - Matrix updatable to cover new Transaction Types or other 2003 Definition parameters
    - Transaction types are,
      - *Corporate CDS:* "Standard North American Corporate", "Old North American Corporate", "European Corporate", "Australia Corporate", "New Zealand Corporate", "Japan Corporate", "Singapore Corporate", "Asia Corporate", "Subordinated European Insurance Corporate", "Emerging European Corporate LPN", "Emerging European Corporate", "Latin America Corporate B" and "Latin America Corporate BL"
      - *Sovereign CDS:* "Asia Sovereign", "Emerging European & Middle Eastern Sovereign", "Japan Sovereign", "Australia Sovereign", "New Zealand Sovereign", "Singapore Sovereign", "Latin America Sovereign" "Western European Sovereign"
      - *US Municipals CDS:* "US Municipal Full Faith And Credit", "US Municipal General Fund" and "US Municipal Revenue"

- One-off CDS auction protocols prior to the "2009 Supplement":

2005 Collins & Aikman CDS Index Protocol
2005 Delta & Northwest CDS Index Protocol
2005 Delphi CDS Index Protocol
2006 Calpine CDS Index Protocol
2006 Dana CDS Index Protocol
2006 Dura CDS Protocol
2008 Quebecor CDS Protocol
2008 Tembec CDS Protocol

2008 Fannie Mae and Freddie Mac CDS Protocol
2008 Lehman CDS Protocol
2008 Washington Mutual CDS Protocol
2008 Icelandic Banks CDS Protocols
2008 Tribune Company CDS Protocol
2009 Ecuador CDS Protocol
2009 Lyondell Entities CDS Protocol

2009 Nortel Entities CDS Protocol
2009 Smurfit CDS Protocol
2009 Station Casinos CDS Protocol
2009 Chemtura Entities CDS Protocol
2009 Rouse Company CDS Protocol
2009 LyondellBasell Industries CDS Protocol

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History of ISDA Documentation (continued)

- "**2009 Supplement**"
  - Appended new Article XII on "Auction Settlement" and made major amendments to the 2003 ISDA Credit Derivatives Definitions
  - **Article XII** allows confirmations to specify "hard-wired" ***Auction Settlement***.
  - **Amendments** establish the ***Credit Derivatives Determinations Committees*** which rules on requests to determine whether a Credit Event or Succession Event has occurred.
  - **Amendments** introduce ***Credit Event*** and ***Succession Event Backstop Dates*** which set time limits on claiming an event has happened
    - Backstops make older contracts interchangeable with new contracts after 90 days
    - Previously parties could wait years to call an event.
- Supplement applies only to Corporate and Sovereign CDS
  - Does not apply to: LCDS, ELCDS, MCDS, CDS on ABS and associated indices
  - Applied to single name from 8 April 2009 when ISDA Settlement Matrix parameter for Corporate and Sovereign Transaction Types became "Auction Settlement" instead of "Physical Delivery"
  - Applied to index CDS (CDX, iTraxx and tranches) after 20 June 2009 rollover
- "***Big Bang***" Protocol
  - Parties that sent "Big Bang" Protocol Adherence Letter to ISDA by 7 April 2009, each agreed that CDS previously transacted between them were amended to the 2009 March Supplement standard
  - Backstop dates applied to pre-existing CDS only after a "hardening period" ending 20 June 2009

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Modified and Modified/Modified Restructuring

- Applies a *Maturity Limitation Date* limiting the maturity of Deliverable Obligation
  - ***Modified Restructuring*** introduced in 2001, applying mainly to US (and Australia)
  - ***Modified Modified Restructuring*** introduced in 2003, applying mainly to Europe
- If ***Protection Buyer*** triggers, Deliverable Obligation cannot have maturity greater than the later of:
  - The termination date of the CDS contract, and...
  - Under Mod-R, the earlier of:
    - 30 months following date of restructuring
    - The latest final maturity date of any Bond or Loan that has been restructured
  - Under Mod-Mod-R, the earlier of:
    - 60 months following date of restructuring (restructured obligations)
    - 30 months following date of restructuring (non-restructured obligations)
- If ***Protection Seller*** triggers, there is no maturity limitation
  - ... although Deliverable Obligation cannot have maturity greater than 30 years

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Obligations Relevant to Credit Events

"Obligations" are needed to trigger all Credit Events except Bankruptcy:

- An "Obligation" is any holding, obligation, debt, or other credit instrument that:
  - Falls into an "Obligation Category" selected in the transaction confirmation which also satisfies the selected "Obligation Characteristics" (if any);
  - Or is any of the Reference Obligations;
  - Or is specifically listed in the confirmation;
  - But that is *not* an "Excluded Obligation" if any are listed in the confirmation
- Reference Obligation (or Reference Asset)
  - Any holding, obligation, debt, or other credit instrument specified as such in the transaction
  - Used to define the minimum level of subordination (via the "Not Subordinated" Characteristic)
  - Used to define what to value during cash settlement
  - ISDA committees choose Substitute Reference Obligation if needed, e.g. if original matures
- Deliverable Obligation
  - Must be fully repayable holdings, obligations, debt, or other credit instruments (incl. guarantees)
  - The protection buyer decides what to deliver if physical settlement occurs, and can be:
    - defined via the selected "Deliverable Obligation Category / Characteristics"; or
    - specifically listed (or excluded) in the confirmation; or
    - any of the Reference Obligations; or
    - any of the restructured debt for a sovereign Reference Entity in a Restructuring Event

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Credit Event Notices

- Credit Event Notice and Notice of Publicly Available Information
  - A Credit Event Notice contains a description of facts relevant to determining that the Credit Event has, in fact, occurred.
    - As long as the event occurred within the life of the contract, it can be served up to 14 days after the CDS termination date (or longer for Failure to Pay events if Grace Period Extension applies)
  - It is usually a condition of settlement that both a Credit Event Notice and a Notice of Publicly Available Information have been delivered
    - Sources can include Bloomberg, Dow Jones, Reuters, and several major financial newspapers
    - Also possible are releases by the reference entity, or bankruptcy filings
  - All necessary notices must be served within 60 days of the Credit Event to trigger the CDS
- Uniform Settlement Agreement (USA)
  - An alternative dispensing with the need for counterparties to exchange Credit Event Notices
    - A USA is a contract signed by major dealers and their clients immediately after a credit event
    - Parties to USA agree that a Credit Event Notice and Notice of Publicly Available Information are deemed to have been validly delivered for all covered credit derivatives transactions referencing the relevant entity
- Credit Event Request Resolution “Notice”
  - Under 2009 documentation, this is equivalent to a Credit Event Notice and a Notice of Publicly Available Information sent directly to ISDA, with a request that the relevant regional Credit Derivatives Determination Committee (DC) consider if a Credit Event has happened
  - Unsettled bilateral notices are superseded by a DC resolution that a Credit Event has occurred

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Other Notices

- Repudiation/Moratorium Extension Notice
  - Repudiation/Moratorium is a two step Credit Event
  - Sending this notice plus a Notice of Publicly Available Information satisfies the Repudiation/Moratorium Extension Condition
    - Useful if a Potential Repudiation/Moratorium occurs near schedule termination of a Sovereign CDS
    - Gives up to 60 days to wait for an actual Failure to Pay after a Potential Repudiation/Moratorium
  - Under 2009 documentation the Repudiation/Moratorium Extension Condition is usually determined by a DC considering the matter as a Credit Event Request Resolution
- Succession Event Notice
  - A Succession Event Notice contains a description in reasonable detail of facts relevant to determining how the Succession Event will affect the CDS
  - Under 2009 documentation a Credit Event Request Resolution will allow a DC to determine how Succession Events are to be handled
- Notice of Physical Settlement (NOPS)
- NOPS Amendment Notice

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Backstop Dates

- The “2009 Supplement” established Backstop Dates
- The ***Credit Event Backstop Date*** is 60 days prior to:
  - The date on which the relevant Credit Event Resolution Request was submitted to the DC, or
  - The date on which an effective Credit Event Notice was delivered (together with a Notice of Publicly Available Information if applicable)
  - In other words, the backstop date is set to be 60 days prior to the Event Determination Date, and is not affected by business day conventions
- The ***Successor Event Backstop Date*** is similarly set 90 days prior to:
  - Succession Event Resolution Request Date, or
  - Succession Event Notice
- Credit Events and Succession Events may be effective even if they occur ***before*** the Trade Date
  - Previously, credit events would only be effective after the Effective Date of the CDS
- Credit Events occurring before the Backstop Date cannot trigger a CDS
  - Prior to the introduction of a Backstop Date parties could in theory wait years to call an event so CDS trades did not offset with full legal certainty
  - Protection buyers now have strong incentive to submit a Credit Event Resolution Request to the DC within 60 days of a credit event occurring

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Backstop Dates – Example

Scenario

- Jan 5: Bank sells protection on Entity X
- Jan 15: Entity X experiences a Credit Event
- Feb 2: Bank buys protection on Entity X (to offset/hedge first trade)
- Feb 20: Event Determination Date for the Jan 15 Credit Event

Under 2003 Rules...

- Second trade *is not* triggered by the Credit Event, as it occurred *before* the effective date of the second trade (i.e. before 00:01 GMT on Feb 3)

After the 2009 Supplement...

- Second trade *is* triggered by the Credit Event, as it occurred *after* the Dec 22 Credit Event Backstop Date (i.e. after 60 days prior to Feb 20)
  - *Both* trades triggered by a Credit Event that occurred ***before*** one of them even existed!
  - Trades offset with full legal certainty, for any Event Determination Date scenario
  - No margin is required within any central clearing platform
  - Portfolio compression is encouraged as nothing is being lost for protection buyers

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Successor Events

Under the "2009 Supplement", the DC makes the Successor Event rulings

- A non-sovereign entity "Successor Event" is a:
  - Merger
  - De-merger
  - Consolidation
  - Amalgamation
  - Transfer of assets
  - … or other event which affects the status of a reference entity
- If a Successor Event affects Reference Entity X, the ISDA 2003 documentation sets out rules for handling existing CDS transactions:
- Entity A inherits more than 75% of Entity X's obligations:
  - Entity A becomes the sole successor of all CDS on Entity X
- Entity A inherits 25%-75% of Entity X's obligations AND Entity X retains *less than* 25% of these obligations:
  - Entity A becomes the sole successor of all CDS on Entity X
- Entities A, B, C… inherit 25%-75% of Entity X's obligations AND Entity X retains *less than* 25% of these obligations:
  - Entities A, B, C… become the successors of CDS on Entity X
  - New CDS are created by dividing existing CDS *pro rata* between the successors

continued…

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Successor Events (continued)

- Entities A, B, C… inherit 25%-75% of Entity X's obligations AND Entity X retains *more than* 25% of these obligations:
  - Entities A, B, C… *and* X become the successors of CDS on Entity X
  - New CDS are created by dividing existing CDS *pro rata* between the successors
- Entities A, B, C… inherit less than 25% of Entity X's obligations AND Entity X continues to exist:
  - No successors are defined, and existing CDS continue as before
- Entities A, B, C… inherit less than 25% of Entity X's obligations AND Entity X ceases to exist:
  - The entity succeeding to the greatest percentage of X's obligations becomes the sole successor
- A sovereign entity "Successor Event" is a:
  - Annexation
  - Secession
  - Dissolution
  - Reconstitution
  - Unification
  - Partition
  - Consolidation
  - … or other event that results in any direct or indirect successor(s)
- As many equally weighted CDS as needed for the sovereign successors

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